

feedback loop. Often, core protocol developers will also work for a company that provides application(s) that use the protocol, and that is a way for the protocol developers to get paid over the long term. They can also benefit from holding the native asset since inception.

LAUNCHING A NEW CRYPTOASSET WITH AN ICO

Initial coin offering (ICO) is the term most commonly used to describe crowdfunding the launch of a new cryptoasset. We'd like to expand this term to refer to *initial cryptoasset offering*, as the specific use of the term "coin" implies that these are currencies, which as we covered in [Chapter 4](#), is most certainly not the case for all cryptoassets. Our definition is more expansive, as many new ICOs relate to the creation of new cryptotokens and cryptocommodities.

To get an idea of the growth of ICOs over the last few years, see [Figure 16.3](#). In this chart, note two of the major ICOs that occurred during this period: the successful Ethereum launch in 2014 and the infamous launch of The DAO in 2016. For a few months after the DAOsaster there was a significant drop-off in ICOs, but by the end of 2016, cumulative ICO funding was \$236 million for the year, which was nearly 50 percent of the \$496 million raised through traditional venture capital for blockchain projects in 2016.¹⁷ Given the rate of growth in ICOs, 2017 may be the year where more money is raised through ICOs than through traditional venture capital.